1976 budget speech when no one dared to be associated with anti-government statements during the Emergency. ‘For a person sitting on the chair of one of the largest government controlled institutions, it was indeed courageous.’[14] (Trivia: the two also shared a barber.[15])

Later, Mehta requested N.M. Wagle, ex-ICS and Chairman of Greaves Cotton, to join the Board. The World Bank also sent its representative to assist and supervise ICICI for a year. He was William Diamond, a dedicated development banker. Parekh got on very well with him and they became lifelong friends. In due course, Mehta and Parekh built up an excellent team of well-qualified officers, without whom they could not have made ICICI what it came to be. Also, as we shall see in the next Chapter, Mehta and Parekh shared a most cordial relationship and this played a crucial role in the success of ICICI after its initial years which were stormy.

## The Mundhra Affair

A memorable event of considerable public importance which took place during Parekh’s early association with ICICI was the Mundhra episode. In 1958, the Mundhra scandal, independent India’s first major financial scandal broke thanks to the expose made in parliament by Feroze Gandhi. The government owned LIC under pressure from the government had purchased ₹1.24 crore worth of shares in six companies belonging to the Calcutta based industrialist Haridas Mundhra, allegedly in order to bail him out. LIC’s Investment Committee was informed only after the deal had been made. When life insurance was nationalized in 1956, one requirement was to form an Investment Advisory Committee to channel LIC’s funds to the right areas. Finance Secretary, H.M. Patel, was the first Chairman of LIC. The Committee consisted of the Presidents of the Bombay and Calcutta Stock Exchanges, L.K. Jha, representing the Government of India, H.M. Patel as Chairman and Parekh. Parekh was happy to join because investment was his forte and the then Finance Minister, C. D. Deshmukh, had known him well from his RBI days. Beale was not in favour of Parekh’s membership of this Committee. Parekh argued that this was a great opportunity for him to serve and a great honour for ICICI as well. The matter was put before the Board of ICICI, who endorsed Parekh’s nomination wholeheartedly.